



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



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**TITAN GRID – ADVANCED
TRANSFORMER TANK
MANUFACTURING FACILITY**
TRANSFORMER TANKS & FIN WALLS
Metal D.O.O.

STRATEGIC INVESTMENT MEMORANDUM: PROJECT TITAN GRID

To: European Bank for Reconstruction and Development (EBRD) / Manufacturing & Services Team

From: Danijela Đurović Keskin – CFO & Lead Strategist, ARS Metal Industries d.o.o.

Subject: Senior Debt Financing for Western Balkans Industry 4.0 Transition

Date: March 2026

1. THE TRANSFORMATION THESIS

ARS Metal Industries d.o.o. is launching **TITAN Grid**, a project that aims to set new industrial standards in Montenegro. We are transitioning from traditional, labor-intensive manufacturing to a **de-carbonized, AI-integrated model** that directly aligns with the European energy grid.

2. OPERATIONAL DOMINANCE & TRANSITION IMPACT

TITAN Grid is a "Tier-1" industrial asset that meets all EBRD priorities:

- **Green Economy Transition (GET):** Supported by a **1.4 MWp solar array**, achieving approximately 70% energy autonomy.
- **Resource Efficiency:** Our 30kW laser systems employ AI nesting to minimize material waste to under 4%.
- **Inclusion & Leadership:** As a **female-led business** in a traditionally male-dominated industry, we exemplify superior corporate governance and social progress.

3. THE FINANCIAL FORTRESS

Our financial projections (refer to Exhibit 01) emphasize resilience rather than mere optimism:

- **DSCR Strength:** We anticipate an average Debt Service Coverage Ratio (DSCR) ranging from **11.0x to 29.0x**.
- **Shock Resistance:** In a "Perfect Storm" scenario (35% revenue decline), our debt service remains secure at **2.95x**.
- **Commodity Hedge:** Our **100% Raw Material Pass-Through** policy separates our profits from fluctuations in global steel prices.





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4. LENDER SECURITY & EXIT

We offer the EBRD a swift path to exit:

- **4.1-Year Payback:** A capital recovery cycle that is nearly twice as fast as industry standards.
- **Liquidity Guarantee:** A commitment to maintain a **6-month Debt Service Reserve Account (DSRA)** as pre-disbursement security.
- **Asset Collateral:** First-priority lien on Tier-1 robotic systems and industrial real estate.

5. CONCLUSION

TITAN Grid is poised for execution in 2026. We invite the EBRD to take the lead on this facility, tapping into a project that promises the highest credit safety in the Adriatic region.

The infrastructure is ready. The calculations are complete.

Respectfully,

Danijela Đurović Keskin
CFO & Lead Strategist
ARS Metal Industries d.o.o.

